Theory case · Topic 1 · 2 points · 15 min

C08 — Classifying three aerospace enterprises, and why firms exist at all

Consider three enterprises:

- ***TitanMine**, a private company with 35 employees that extracts titanium ore in one region and sells it only in its own country;*
- ***AeroNational**, a state-owned manufacturer of military transport aircraft with 9,000 employees, plants in three countries and customers in twenty;*
- ***Wingtip Consulting**, a one-person business that advises flying schools on safety management in several markets of one country.*

A classmate claims: "Firms are unnecessary; each engineer could simply sell their work to whoever needs it on the market."

Part (a) · 1.25 points

Classify the three enterprises using the economic and legal criteria of the course

Criterion [Slide 19]	TitanMine	AeroNational	Wingtip Consulting
Sector	Primary (extraction)	Secondary (manufacturing)	Tertiary (services)
Size	Small	Big	Small
Scope	One market, national	Multi-market, multinational	Multi-market, national
Ownership of the factors	Private	State-owned	Private
Form of ownership	Company (likely a corporation)	Corporation	Sole proprietorship

The deck gives the criteria and their classes but no thresholds; reading 35 employees as small and 9,000 as big is the usual interpretation (extension).

KEY POINTS

- TitanMine: primary, small, one market and national, private.
- AeroNational: secondary, big, multi-market and multinational, state-owned; corporation.
- Wingtip: tertiary, small, multi-market and national, private, sole proprietorship.

Part (b) · 0.75 points

Answer the classmate using the course's explanation of why enterprises exist

Economics studies how scarce resources are used to satisfy unlimited wants; those wants are met through **specialization**, the division of labour, and specialization requires **coordination** [Slide 12]. Coordination can be carried out either by the **market**, as the classmate suggests, or by the **enterprise**. Building a transport aircraft requires thousands of specialists working together on one product: coordinating them through separate market contracts would be impractical, so an enterprise appears to coordinate them (reasoning applied to the case, beyond the slides). In the course's words, an enterprise appears because there is a **dissatisfied need** [Slide 12]. Wingtip shows that, for simple services, one person selling directly to the market can also work.

KEY POINTS

- Wants are met through specialization (division of labour), which requires coordination.
- Coordination can be done by the market or by the enterprise; the enterprise appears where there is a dissatisfied need that it coordinates better.